

Hitachi (6501.T)

1Q above expectations/guidance up: Energy contribution tops expectations; prep for 800V DC products progressing; DSS firm in Japan, weak overseas; raise TP, Buy

6501.T 12m Price Target: ¥6,600 Price: ¥4,957 Upside: 33.1%

Hitachi reported 1Q sales of ¥2,709.5 bn (GSe ¥2,356.7 bn) and adjusted operating profits of ¥294.3 bn (GSe ¥271.1 bn) after the July 29 close. **We take a positive of adjusted operating profits beating both the Bloomberg consensus of ¥250.6 bn and our bullish forecast.** Hitachi raised its full-year guidance for sales/adjusted operating profits/adjusted EBITA to ¥11.7 tn/¥1,408 bn/¥1,520 bn, from ¥11.1 tn/¥1,315 bn/¥1,420 bn (our previous estimates were ¥11,359.5 bn/¥1,373.5 bn/¥1,450.7 bn). The Energy segment accounted for a large portion of the upward revision to adjusted EBITA guidance (¥76 bn). **Overall, Energy performed very strongly, while DSS was firm domestically but weak overseas.**

Orders in the Energy segment rose 87% yoy, partly on contributions from large projects, and were up 94% yoy excluding nuclear. The company had assumed yoy sales growth in the high teens (%) for the current fiscal year, but growth is currently running at over 20% even on a USD basis. Hitachi commented that if this trend continues into the next fiscal year, there could be upside to its medium-term outlook. We believe both volume and profit margins are improving, thanks to higher orders and capacity expansion, as well as improved production efficiency. The impact from the Middle East is also expected to be smaller than Hitachi initially assumed.

In DSS, while the overseas business (GlobalLogic) struggled with yoy declines in sales and profits, domestic business remained firm, driven by demand related to AI transformation (AX) and other factors. **A key point to watch will be how productivity improvements from the use of AI (with a goal of achieving 30% in FY3/28) will contribute to profit margins.**

Reflecting the results, we raise our adjusted operating profit forecasts for FY3/27-FY3/29 by 6%/5%/4%. We lift our 12-month target price to ¥6,600 from ¥6,300 and retain our Buy

BUY

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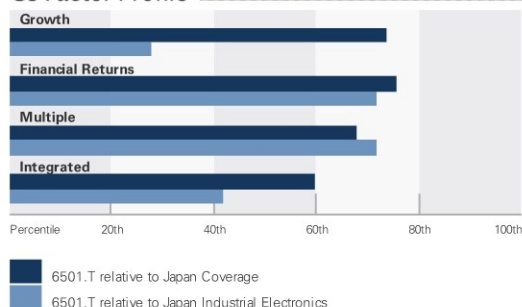
Key Data

Market cap: ¥23.0tr / \$140.1bn
Enterprise value: ¥22.1tr / \$134.7bn
3m ADTV: ¥64.8bn / \$404.6mn
Japan
Japan Industrial Electronics
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	3/26	3/27E	3/28E	3/29E
Revenue (¥ bn)	10,586.8	11,705.4	12,755.9	13,906.1
Op. profit (¥ bn) New	1,199.3	1,462.4	1,637.0	1,830.8
Op. profit (¥ bn) Old	1,199.3	1,373.5	1,559.3	1,754.7
Op. profit CoE (¥ bn)	—	1,408.0	—	—
EPS (¥) New	178.3	229.5	263.2	301.2
EPS (¥) Old	178.3	214.9	250.1	288.3
P/E (X)	24.8	21.6	18.8	16.5
P/B (X)	3.0	3.2	3.0	2.8
CROCI (%)	19.2	13.7	14.9	15.3
	6/26	9/26E	12/26E	3/27E
EPS (¥)	42.4	52.9	60.3	72.2

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

Hitachi (6501.T)

Rating since Mar 16, 2023

Ratios & Valuation

	3/26	3/27E	3/28E	3/29E
P/E (X)	24.8	21.6	18.8	16.5
P/B (X)	3.0	3.2	3.0	2.8
FCF yield (%)	5.9	7.8	3.9	4.5
EV/EBITDAR (X)	12.3	10.8	9.7	8.8
EV/EBITDA (excl. leases) (X)	12.3	10.8	9.7	8.8
CROCI (%)	19.2	13.7	14.9	15.3
ROE (%)	12.9	15.1	16.3	17.4
Net debt/equity (%)	(4.6)	(15.9)	(13.7)	(12.1)
Net debt/equity (excl. leases) (%)	(4.6)	(15.9)	(13.7)	(12.1)
Interest cover (X)	35.6	40.6	45.5	50.9
Days inventory outst, sales	57.5	58.0	58.3	58.3
Receivable days	129.3	114.1	99.2	99.1
Days payable outstanding	79.6	78.5	79.8	80.2
DuPont ROE (%)	11.8	14.3	15.3	16.2
Turnover (X)	0.7	0.8	0.8	0.8
Leverage (X)	2.2	2.2	2.2	2.1
Gross cash invested (ex cash) (¥)	11,418.5	10,984.4	11,555.4	12,151.4
Average capital employed (¥)	6,414.7	6,202.8	6,191.8	6,695.7
BVPS (¥)	1,459.7	1,546.0	1,656.1	1,784.7

Growth & Margins (%)

	3/26	3/27E	3/28E	3/29E
Total revenue growth	8.2	10.6	9.0	9.0
EBITDA growth	17.5	20.5	9.5	9.0
EPS growth	32.6	28.7	14.7	14.5
DPS growth	16.3	20.0	16.7	28.6
EBIT margin	11.3	12.5	12.8	13.2
EBITDA margin	15.3	16.6	16.7	16.7
Net income margin	7.6	8.7	9.0	9.2

Price Performance**Income Statement (¥ bn)**

	3/26	3/27E	3/28E	3/29E
Total revenue	10,586.8	11,705.4	12,755.9	13,906.1
Cost of goods sold	(7,407.3)	(8,167.1)	(8,856.7)	(9,609.1)
SG&A	(1,690.0)	(1,745.9)	(1,932.2)	(2,136.2)
R&D	(290.3)	(330.0)	(330.0)	(330.0)
Other operating inc./exp.)	—	—	—	—
EBITDA	1,615.2	1,946.3	2,130.6	2,322.9
Depreciation & amortization	(415.9)	(483.9)	(493.6)	(492.1)
EBIT	1,199.3	1,462.4	1,637.0	1,830.8
Net interest inc./exp.)	(0.9)	(1.0)	(1.0)	(1.0)
Income/(loss) from associates	44.1	6.0	6.0	6.0
Pre-tax profit	1,273.1	1,437.4	1,612.0	1,805.8
Provision for taxes	(421.7)	(388.0)	(435.0)	(488.0)
Minority interest	(49.1)	(35.0)	(35.0)	(35.0)
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	802.4	1,014.4	1,142.0	1,282.8
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	802.4	1,014.4	1,142.0	1,282.8
EPS (basic, pre-exception) (¥)	178.3	229.5	263.2	301.2
EPS (diluted, pre-exception) (¥)	178.3	229.5	263.2	301.2
EPS (basic, post-exception) (¥)	178.3	229.5	263.2	301.2
EPS (diluted, post-exception) (¥)	178.3	229.5	263.2	301.2
DPS (¥)	50.0	60.0	70.0	90.0
Div. payout ratio (%)	28.0	26.1	26.6	29.9

Balance Sheet (¥ bn)

	3/26	3/27E	3/28E	3/29E
Cash & cash equivalents	1,323.5	2,133.4	2,033.0	1,963.4
Accounts receivable	4,004.9	3,316.5	3,614.2	3,940.1
Inventory	1,770.5	1,950.9	2,126.0	2,317.7
Other current assets	768.4	768.4	768.4	768.4
Total current assets	7,867.2	8,169.2	8,541.6	8,989.5
Net PP&E	1,652.9	1,844.8	2,027.0	2,210.7
Net intangibles	3,863.2	3,863.2	3,863.2	3,863.2
Total investments	1,205.7	1,205.7	1,205.7	1,205.7
Other long-term assets	452.2	452.2	452.2	452.2
Total assets	15,041.2	15,535.1	16,089.7	16,721.3
Accounts payable	1,658.8	1,853.4	2,019.7	2,201.8
Short-term debt	469.3	469.3	469.3	469.3
Short-term lease liabilities	—	—	—	—
Other current liabilities	5,039.1	5,039.1	5,039.1	5,039.1
Total current liabilities	7,167.1	7,361.7	7,528.1	7,710.2
Long-term debt	539.8	539.8	539.8	539.8
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	561.7	561.7	561.7	561.7
Total long-term liabilities	1,101.5	1,101.5	1,101.5	1,101.5
Total liabilities	8,268.6	8,463.2	8,629.6	8,811.7
Preferred shares	—	—	—	—
Total common equity	6,568.4	6,832.6	7,185.9	7,600.4
Minority interest	204.2	239.2	274.2	309.2
Total liabilities & equity	15,041.2	15,535.1	16,089.7	16,721.3
Net debt, adjusted	(314.4)	(1,124.3)	(1,024.0)	(954.4)

Cash Flow (¥ bn)

	3/26	3/27E	3/28E	3/29E
Net income	802.4	1,014.4	1,142.0	1,282.8
D&A add-back	415.9	483.9	493.6	492.1
Minority interest add-back	49.1	35.0	35.0	35.0
Net (inc)/dec working capital	(509.7)	702.5	(306.4)	(335.5)
Other operating cash flow	910.4	6.0	6.0	6.0
Cash flow from operations	1,668.1	2,241.9	1,370.2	1,480.5
Capital expenditures	(473.9)	(511.0)	(511.0)	(511.0)
Acquisitions	(176.4)	—	—	—
Divestitures	(288.1)	(6.0)	(6.0)	(6.0)
Others	596.9	—	—	—
Cash flow from investing	(341.6)	(517.0)	(517.0)	(517.0)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(204.9)	(265.2)	(303.7)	(383.3)
Inc/(dec) in debt	(374.6)	0.0	—	—
Other financing cash flows	(289.8)	(649.8)	(649.8)	(649.8)
Cash flow from financing	(869.3)	(915.0)	(953.5)	(1,033.1)
Total cash flow	457.2	809.9	(100.3)	(69.6)
Free cash flow	1,194.2	1,730.9	859.2	969.5

Source: Company data, Goldman Sachs Research estimates.

rating.**Key points from earnings**

Energy: sales ¥911.9 bn, adjusted EBITA ¥129.0 bn (GSe ¥734.3 bn/¥102.8 bn).

Sales grew in all regions, led by Europe and the US. On the profit front, contributions came from higher volumes as well as productivity improvements and a better sales mix. Orders were up 94% yoy. Hitachi Energy's order backlog was ¥10.3 tn (+12% from end-FY3/26) / US\$63.6 bn (+10% from end-FY3/26). Orders for the energy segment as a whole, including nuclear, were up 87% yoy. While large projects contributed to orders, base orders (for equipment such as transformers and switchgear) were also strong.

Hitachi looks for profit margins to continue improving, driven by: (1) better margins on the order backlog; (2) progress with AI utilization in addition to the full-scale contribution of the ERP system introduced in FY3/25; and (3) improved project management (e.g., minimizing the construction [C] portion of EPC contracts as much as possible).

Full-year guidance

FY3/27 guidance for Energy sales/adjusted EBITA was raised to ¥4,060 bn/¥576 bn from ¥3,700 bn/¥500 bn.

800V DC rack architecture: Hitachi is providing support for technical studies. Industry forecasts suggest adoption will begin around FY3/29. The company plans to start with areas where it can deliver quickly using existing technologies. Specifically, it expects to begin demonstration tests for power conversion and grid interconnection systems (integrated control systems from the power grid to the rack) in early 2027. It looks for this to contribute to simplification, efficiency improvements, and a reduced footprint. Solid-state transformers (SST) are products that integrate control, power electronics, and transformer technologies, all areas where Hitachi Energy has expertise. However, the company believes the transition to SSTs will take some time.

Digital systems & services: sales ¥719.0 bn, adjusted EBITA ¥85.5 bn (GSe ¥668.7 bn/¥97.0 bn).

SI & services

The domestic AX/modernization business (finance, public sector, and transportation) was firm. In terms of profits, strengthened project management and productivity improvements through AI utilization also contributed. By sector, Finance was up 25% yoy, Social was up 10% yoy, and Industrial was down 2% yoy.

Orders were flat yoy, but up 10% excluding the impact of a drop-off in large-scale public sector orders.

While high-single-digit order growth is in sight for domestic IT, the company is targeting domestic DSS sales of up to ¥5 tn, as presented at its IR Day, through (1) productivity improvements from AI utilization (productivity improved by about 10% as of end-FY3/26, with a target to raise this to around 30% in FY3/28) and (2) inorganic investment.

Engineering & services

Expansion in the Lumada business contributed. Orders were up 7% yoy.

IT products

This business saw a rebound from the impact of investment restraint in the previous fiscal year and an expansion in block storage sales. Operational improvements also contributed to profits. Orders were up 26% yoy.

GlobalLogic

Standalone sales were US\$488 mn (-2% yoy), and profits also declined yoy. While the market environment is challenging, the company is strategically curbing low-margin projects. Sales for GlobalLogic + HDS, including synergies with other businesses, came to US\$1,969 mn (+28% yoy).

Full-year guidance

FY3/27 guidance for DSS sales/adjusted EBITA was raised to ¥3,220 bn/¥508 bn from ¥3,190 bn/¥500 bn. SI & services: raised to ¥1,564 bn/¥239 bn from ¥1,530 bn/¥234 bn; Engineering & services: raised to ¥1,790 bn/¥265 bn from ¥1,781 bn/¥263 bn; IT products: raised to ¥498 bn/¥28.5 bn from ¥468 bn/¥27 bn.

Personnel

Anand Birje has been appointed CEO of the Digital Engineering & AI Solutions (DEAI) business unit. The BU includes GlobalLogic, Hitachi Digital Services (HDS), and others.

Mobility (railway systems): sales ¥344.4 bn, adjusted EBITA ¥30.4 bn (GSe ¥291.1 bn/¥26.2 bn).

Performance was firm, mainly in Europe. In terms of profits, growth in the signaling and control business and a reduction in acquisition-related costs for the Thales GTS business also contributed.

Orders were up 25% yoy. The order backlog was ¥7.4 tn (+5% from end-FY3/26).

Full-year guidance

FY3/27 guidance for Mobility sales/adjusted EBITA was raised to ¥1,450 bn/¥136 bn from ¥1,350 bn/¥127 bn.

Connective industries: sales ¥761.0 bn, adjusted EBITA ¥83.4 bn (GSe ¥732.6 bn/¥80.6 bn).

Contributions came from measurement and analysis systems, distribution transformers compliant with new energy-saving standards, and expansion of the building services business in China. Orders were up 25% yoy, of which measurement and analysis systems were up 55% yoy.

Full-year guidance

FY3/27 guidance for CI segment sales/adjusted EBITA was raised to ¥3,250 bn/¥385 bn from ¥3,150 bn/¥371 bn.

Overall full-year guidance

FY3/27 guidance for sales/adjusted operating profits/adjusted EBITA was raised to ¥11.7 tn/¥1,408 bn/¥1,520 bn from ¥11.1 tn/¥1,315 bn/¥1,420 bn.

Impact from Middle East

Hitachi's initial assumption was for a -¥40 bn/-¥20 bn impact on sales/adjusted EBITA, but the actual 1Q impact was -¥16 bn/-¥7 bn, and the forecast for 2Q-4Q is -¥10 bn/-¥10 bn (the company's assumption on full-year impact has been reduced to -¥26 bn/-¥17 bn).

The impacts from the Middle East include: (1) sales delays due to supply shortages; (2) a decrease in short-lead-time products; and (3) soaring prices for procured goods and energy.

Our estimates/target price

Reflecting the results, we raise our adjusted operating profit forecasts for FY3/27-FY3/29 by 6%/5%/4%, mainly on upward revisions for Energy.

Exhibit 1: Hitachi: earnings overview

(JPY mn)	FY3/27 1Q		FY3/27		
	GSE	Actual	GSE		CoE
			Old	New	
Sales	2,356,650	2,709,586	11,359,500	11,705,400	11,700,000
Adj. Operating profit	271,090	294,287	1,373,532	1,462,432	1,408,000
Adj. EBITA	289,598	323,300	1,631,685	1,550,332	1,520,000
Net income	190,816	189,450	949,532	1,014,432	900,000

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis - Hitachi

With Hitachi's recent deconsolidation from its consolidated accounts of some businesses with relatively large capex and low capital efficiency versus IT and other businesses, we expect CROCI to increase and look for investors to price in prospects for future CROCI improvement. Hitachi has a diverse business portfolio comprising the digital systems & services (DSS), energy (power grid), mobility (railway), and the connective industries segments. Among these, we expect the acquisitions of GlobalLogic and Hitachi Energy (formerly ABB Power Grid) in the DSS and energy fields, respectively, to drive earnings growth. We view Hitachi as one of the few companies likely to benefit from both digital transformation (DX) and green transformation (GX) trends worldwide. In the DSS segment, domestic IT demand is strong against a backdrop of modernization demand. In the Energy segment, demand for power grid products is strong, backed by factors including (1) replacement demand, (2) data center demand, and (3) demand for power grid interconnection particularly amid rising geopolitical risk in Europe. Furthermore, Hitachi is working to actively deploy both physical AI and industrial AI in industrial domains such as railway and power grid systems. We believe its strategy of expanding the service business through AI can contribute to improvement in Hitachi's valuation multiples up ahead. We are Buy rated, looking for multiple expansion on the back of strong hardware demand and expanded use of AI.

Price Target Risks and Methodology - Hitachi

We are Buy rated. Our 12-month target price of ¥6,600 for Hitachi is based on an EV/EBITDA multiple of 13X (base year is FY3/28E; the multiple is based on the EV/EBITDA and EBITDA margin correlation across its domestic and global competitors).

Risks: **Digital systems & services:** delays and losses on large projects, weaker IT capex sentiment at customers accompanying a macroeconomic downturn, reemergence of supply disruptions for servers and other products, slower standalone growth at GlobalLogic, slower-than-expected realization of synergies between Hitachi and GlobalLogic; **Energy (Power grid):** delays on power transmission/distribution projects, a sharp rise in input costs; **Connective industries:** weaker new construction demand in China, losing out on new repair/maintenance orders to competitors in Japan, semiconductor production equipment (SPE) prices not improving over the long term a risk for the measurement and analysis systems business (Hitachi High-Tech);

Companywide: Forex swings (¥1 appreciation vs. USD has an estimated negative impact of ¥7 bn on sales and ¥0.8 bn on adjusted EBITA) and an increase in purchase price allocation (PPA) amortization due to forex swings.

Disclosure Appendix

Reg AC

We, Ryo Harada and Hiroki Muramatsu, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

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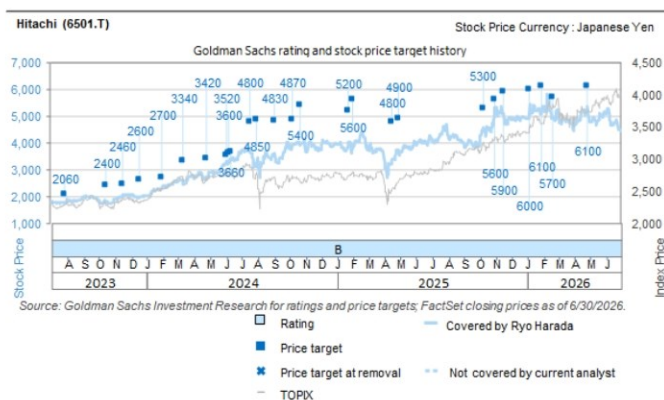
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Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)

Hitachi (6501.T)

Date of report Target price (¥) Closing price (¥)

29-Jul-26	6,600	4,957
07-Jul-26	6,300	4,942
27-Apr-26	6,100	5,356
19-Feb-26	5,700	4,992
29-Jan-26	6,100	5,077
05-Jan-26	6,000	5,068
17-Nov-25	5,900	5,122
30-Oct-25	5,600	4,963
08-Oct-25	5,300	4,477
28-Apr-25	4,900	3,747
16-Apr-25	4,800	3,260
31-Jan-25	5,600	3,946
22-Jan-25	5,200	3,929
23-Oct-24	5,400	3,896
07-Oct-24	4,870	3,904
02-Sep-24	4,830	3,603
31-Jul-24	4,850	3,288
18-Jul-24	4,800	3,663
11-Jun-24	18,300	3,412
07-Jun-24	18,000	3,270
03-Jun-24	17,600	3,313
26-Apr-24	17,100	2,695
12-Mar-24	16,700	2,467
31-Jan-24	13,500	2,335
19-Dec-23	13,000	1,988
16-Nov-23	12,300	2,009
16-Oct-23	12,000	1,806

Price targets shown in table(s) are unadjusted for corporate actions.

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